

## Bull Market Bewitched

One of the hardest temptations to resist, even for those who don't believe in timing, is the urge to retreat from a bull market that has gone on for a very long time and pushed valuations into ever-higher territory. It seems only common prudence to retire to the sidelines.

During one such recent feverish stretch, I was reading C. S. Lewis's *Chronicles of Narnia* to two of my children, and a chapter in volume six, *The Silver Chair*, struck me as a wonderful metaphor for the seductions of a prolonged bull market. An evil witch, by various magic powders and enchantments, convinces both the adults and children in the tale that her underground world is the only reality and that the real world of the earth and sky, with its sun, moon, and stars, is nothing but a fantasy:

Then came the Witch's voice, cooing softly like the voice of a wood-pigeon from the high elms in an old garden at three o'clock in the middle of a sleepy, summer afternoon; and it said: "What is the sun that you all speak of? Do you mean anything by the word?"

"Yes, we jolly well do," said Scrubb [one of the children].

"Your sun is a dream . . ." Slowly and gravely the Witch repeated, "There is no sun." And they all said nothing. She repeated, in a softer and deeper voice, "There is no sun." After a pause, and after a struggle in their minds, all four of them said together, "You are right. There is no sun." It was such a relief to give in and say it.

The later stages of a bull market are like that for investors. Some powerful witch coos in our ears, "There is no risk. The market will only go up. Initial public offerings are marvelous. Your stockbroker is your best friend. A limitless, effortless fortune awaits you."

In the Narnia story, our heroes managed to fight off the enchantment at the last moment. The witch changed instantly into her true form, a great loathsome serpent. A prince, handily present—he had also been under her spell—kills her with his sword, and all live happily ever after.